Protecting and Improving the Best Thing the FTC Has Ever Done: The Holder Rule

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[Course excerpt: overview section only. The letter's ten reform proposals to the FTC are not assigned.]

The Holder Rule Is the FTC's Most Effective Tool against Fraud

The TRR Concerning Preservation of Consumers' Claims and Defenses ("Holder" Rule), 16 CFR 433, is the most effective action the FTC has ever taken to prevent and remedy consumer fraud. The Rule requires all types of sellers of goods or services to include a clause in their credit contracts that makes any assignee or holder of the credit contract responsible for claims the consumer might have against the seller, up to a cap.

Before the FTC adopted the Holder Rule in 1975, sellers and creditors exploited commercial law to create a perfect system to profit from fraud. A fraudulent seller would sell faulty goods or services to a consumer on credit, and then assign the credit contract to a creditor (or arrange a purchase money loan from a creditor). The assigned contract would waive the consumer's right to raise assignor-related defenses against the assignee.

As a result, the consumer was legally bound to pay the creditor the full price of the goods plus all the finance charges even though the goods were defective or never delivered or the transaction was procured by fraud. With profits from fraudulent sales assured, creditors had no incentive to police the sellers whose transactions they financed. Moreover, it was usually impractical or impossible for the consumer to bring an affirmative action to recover from the seller.

The FTC Holder Rule dramatically changed these relationships. Now, in all types of transactions, consumers can raise seller-related claims against the holder. The consumer has a practical means of obtaining redress, by simply stopping payment on the portion of the debt representing fraud. The creditor in turn has an incentive to police its sellers to avoid losing money on its loans. In the case of a loss, the creditor is in a much better position than the consumer to recoup this loss from the seller.

There are tens of billions of significant consumer transactions every year in the United States and no federal, state or local agency or private litigation can hope to compensate all victims of consumer fraud. The FTC Rule instead enlists creditors and the consumers themselves to help police sellers.

Two Examples of What Happens without Holder Rule Protections

- Throughout the 1980s, the Holder Notice was not included in guaranteed student loans and the Department of Education argued that students could not raise school-related fraud as a defense on their student loans. The result was fraud on a scale hard to comprehend as over a thousand scam vocational schools eventually closed and millions of the most vulnerable students were ripped off, with no remedy. Students now can raise school-related defenses on their government backed loans. Not surprisingly, the area of greatest vocational school abuse today involves loans outside the

federal program where the Holder Notice is often (illegally) absent from the loan documents.

• The most telling example of what happens when holders are insulated from origination fraud involves an area where the Rule does not currently apply. Mortgage loan brokers and loan originators earlier this decade were given the green light for fraud on a scale never before seen in this country because the parties financing the mortgage loans claimed immunity from liability for the origination fraud and had no incentive to police it.